

management, investments, and treasury. Customers change between being savers and investors based on their financial decisions. They may choose to deposit money in a bank one moment and invest in a mutual fund the next. Customers do what is right for them and move between these two models, but the financial sector structure separates the two. For example, banks and NBFCs, representing the saver-borrower model, fall largely under the regulation of the Reserve Bank of India, while the capital market side is primarily regulated by the Securities and Exchange Board of India (Sebi). But you have to keep in mind what is your customer's need.

There is another very important thing I would like to share—what I see as the phenomenal transformation of [the] Indian capital markets. I still remember in the late '80s, most Indians were told putting money in shares is a bad [thing]... And then of course in the '90s when Indian companies needed to raise capital, they had to go overseas, and we used to have GDR (Global Depositary Receipt, a financial instrument) issues that were listed in a relatively unknown exchange called the Luxembourg Stock Exchange. At that time, there was no mechanism for foreign institutional

investors to participate in primary issues in India.

In the early 2000s, some of us engaged with Sebi, proposing that what GDRs could accomplish could be replicated on the Indian stock exchange platforms. This led to the development of the QIP market. I am happy to say that from a situation where we were all concerned that the Indian capital markets were getting exported, we are now seeing a very robust market where the nation of savers has become more and more a nation of investors.

the bank's name?

If we go back to the history of successful financial institutions, such as J.P. Morgan, Goldman Sachs, Morgan Stanley, or Merrill Lynch (now part of Bank of America), we find that many of these were established by individuals and families bearing their names. While most of the individuals are gone, the institutions have remained. Therefore, when you put your name on the line, you are committing your reputation to the institution. And that's what we did on day one. Now, of course, the brand

And what I'm happy about is that the entire focus of that [Sebi] report and the subsequent approach to governance has been primarily on substance over form. What we have to be careful about in the future is to ensure that this does not become from substance to too much form, where ticking the boxes [and] dotting the Is and crossing the Ts become more important than the underlying substance of running a company. The principle of governance is very simple. You are running the firm for the interest of all stakeholders ...

“WE COINED THE TERM ‘PROFESSIONAL ENTREPRENEUR,’... WE DEEPLY BELIEVE IN IT AND IT HAS SEEPED INTO OUR CULTURE”

| 37

This transformation is phenomenal... we must nurture this because the intermediation cost of the investor-issuer model is significantly lower than the intermediation cost of the saver-borrower model. But the investor-issuer model comes with its own set of challenges and needs a lot of guardrails.

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You once mentioned that governance is a given at Kotak Mahindra Bank, given that it carries your name. How important was it in deciding

Kotak belongs to the institution, and it is extremely important for the board and the management to nurture and protect the brand and reputation over everything else.

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What are your views on the evolution of the corporate governance structure in India?

I had the privilege of chairing the Sebi committee on corporate governance in 2017, and we put a lot of things in place. Regarding governance, my view is that substance holds more significance than form.

and it is your duty to take care of the interests of all the stakeholders. And this is at the core [of our] governance principles. And what we have to be careful [of] is that we don't start believing that operational detail overrides the substance of governance...

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The Kotak group is known in the industry for the loyalty of its top executives. What is the secret sauce?

I genuinely feel that a company is like a joint family. So, when I was born, I was born into a